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How do framing effects influence individual financial decision-making under risk? This is an important question to dive into as it helps us understand cognitive biases in judgment and choice, challenging rational models like expected utility theory. In practical terms, we get to see how different framings can impact decisions regarding saving, spending, managing money, or even risk-taking. This is all particularly important to have an understanding of, as in our personal lives we get to understand why we lean towards certain positions and what can impact our thought processes. On the other hand, if you work as a financial advisor *per se*, it's crucial to understand the impact of your words and how you word something, as we will dive into how changing a couple of words in a sentence can have a huge impact on the decision made.

One of the foundational studies on framing is Tversky and Kahneman's 1981 paper, which directly assessed how the way a decision is presented can shift people's choices, even when the underlying outcomes stay the same. They gave participants a scenario where an unusual disease was expected to kill 600 people and asked them to choose between two versions. In one version, the options were framed in terms of lives saved: choice A would guarantee to save 200 people, while choice B offered a one-third chance to save everyone and a two-thirds chance to save no one. Most people preferred choice A, the less risky option, which shows risk aversion. But when the exact same scenario was reframed in terms of lives lost, choice C guaranteed 400 deaths, while choice D offered a one-third chance no one would die and a two-thirds chance that all 600 would die, their choices flipped. Now, the majority chose the riskier option (choice D), indicating a risk-seeking behavior.

This was not just a one-off. The same pattern showed up again in decisions involving money and other experiments as there were 7 focused framing ones. The study revealed that people treat gains and losses very differently, even when the expected value stays the same. The authors explained this behavior using prospect theory, which replaces expected utility with a model that better captures how people evaluate outcomes. One key idea is that people do not assess final outcomes in isolation — they assess gains and losses relative to a reference point, and losses feel more painful than equivalent gains feel good.

Tversky and Kahneman supported these claims with a series of decision problems that involved either hypothetical or real monetary stakes. Across multiple groups, they showed consistent reversals in the participants' choices depending on whether outcomes were framed as gains or losses. These were not just semantic tricks — the framing actually changed the cognitive and emotional processing behind the choice. This article is especially relevant for financial decision-making because it shows how people might irrationally avoid small risks of loss, take big risks to avoid certain losses, or undervalue statistically sound choices just because of how they are presented. For example, in Problems 3 and 4, participants made inconsistent financial choices depending on whether gains or losses were emphasized, even when the combined outcome of the riskier option was objectively worse. This directly supports the idea that framing can distort financial decision-making under risk. In real-life terms, someone might avoid a “sure” investment return because it sounds small or take a risky

gamble to avoid a modest loss, even when it is the worse option. This paper provides both the behavioral data and the theoretical model that explains why that happens.

In the article *All Frames Are Not Created Equal: A Typology and Critical Analysis of Framing Effects*, they do not just claim that framing matters; they break framing down into three distinct kinds. First is attribute framing (e.g., 80% lean vs. 20% fat), second is goal framing (e.g., benefits of action vs. costs of inaction), and lastly risky choice framing (classic gain/loss setups). That structure is extremely useful when thinking about how financial information is presented. For example, an investment labeled as “95% safe” feels more appealing than one labeled with a “5% failure rate,” even though they are equal in terms of their return. The authors go through dozens of experiments and point out that goal and risky choice framings tend to be impacted more by emotions, which is where irrationality creeps in.

What is especially important is that the way they highlight framing is not just surface-level wording, but it actually depends on how motivated the person is, how familiar they are with the topic, and whether they have seen multiple frames. This ties directly into real-world finance: someone who has been an investor for a long time might be less influenced by a “loss-avoidance” frame than someone new to managing their money. Their work supports the idea that framing can skew the perception of risk or value but under certain cognitive or motivational conditions. This gives us a more refined answer to how and when framing effects influence individual financial decision-making under risk.

The last article I will be diving into is by Chong & Druckman from 2007, they take framing theory further by showing that people are not just influenced by a single frame, rather they are often exposed to multiple, competing ones. The authors argue that which frame sticks depends on how strong or personally relevant it is. That idea really clicks when you think about financial decisions. Let us say someone is considering buying a car. One ad frames a financing plan as “no interest for 12 months” — that is a gain-focused frame. Another highlight is “penalties if payments are missed” — loss-focused. Depending on your mindset, one will hit harder. Chong and Druckman explain that prior beliefs, values, and even who is delivering the message all affect which frame takes hold.

What is useful here is that it helps explain the variability in framing effects. Not everyone will react the same to the way something is worded, it depends on what matters to them and whether that frame aligns with it. So, in finance, a risk-averse person might zero in on the “protect your savings” frame of an ad, while someone chasing returns might pay more attention to “growth potential.” The article reminds us that framing is never happening in the absence of outside information, there is always context, competition, and individual filters involved. That makes understanding financial behavior more complicated, but also more realistic.

After going through these articles, it is clear that framing can play a crucial role in shaping financial decision-making, especially under conditions (risk) involving uncertainty or emotional investment. People often react differently depending on how choices are worded, sometimes avoiding safe returns or jumping into risky losses based on phrasing. That said, the effect of framing is not always guaranteed, it depends on

things like how experienced someone is, how motivated they are, and the kind to which they are exposed. So, while irrational decisions due to framing can definitely be common, they are not guaranteed. This is a complicated topic that clearly deserves more attention, but from the studies gone over in this paper, framing can absolutely distort how people make financial choices.